

opportunities, steady economic development, easy availability of housing finance, increasing urbanisation, rising standards of living and increased consumer spending on lifestyle products are also driving the growth of home automation. Key factors driving the adoption of smart homes can be listed under three broad categories:

Smart homes become accessible and affordable. Quick shift in technology makes smart homes affordable to the middle class, largely due to innovations that allowed for the development of smaller and lower-cost sensors and actuators that collect information from devices in real-time. In addition to sensors and hardware, further development of inexpensive, Cloud based hub services through which automated devices are able to communicate in a seamless manner also make smart homes more affordable.

Rapid growth of connected appliances. A new era of connectivity is rapidly becoming a reality with the development of smart technologies allowing devices to connect and talk to one another. A large number of Internet-enabled but physically-unconnected devices in India will be connected to the Web, and the country could become very relevant in the machine-to-machine communications landscape in the near future. This, in turn, would enable creation of an Internet of Things (IoT) ecosystem necessary for the

"Key technology trends in the Indian home automation sector will be Cloud computing, the IoT and virtual/augmented reality."

—Altat Ansari, country head - India and SAARC-Linksys



connected home, and the concept of home automation will take off in a big way.

Increasing demand for smart living. Over the years, evolving needs of home buyers have translated into a whole new set of consumer preferences and expectations from real estate developers. What was earlier considered luxury has now become the standard. The new generation of financially-powerful consumer demands a standard of living and luxury at par with the developed world.

The market at a glance

The home automation market in India includes, but is not limited to, centralised controls for lighting, security checks/locks for home access, heating, ventilation and air-conditioning (HVAC) controls and others. The market can be segregated on the basis of:

Application. From the applications perspective, the market is classified into segments like lighting, safety and security, entertainment and energy management. About a year ago, the market share of safety

and security applications exceeded that of entertainment applications. This is due to the rising concerns related to security among the general public. With increased consumer spending on luxury items, adoption of HVAC and energy management ser-

"We believe that lighting plays a critical role in the development of smart homes, considering the ubiquity of lighting and its significant impact on our mood, well-being and lifestyle."

—Harshvardhan Chitale, vice chairman and managing director, Philips Lighting India



vices is expected to increase.

Technology. The market can be classified based on the types of technology used in different applications such as wired, power-line, wireless and computing networks. The wireless market is further classified into Wi-Fi, ZigBee, Z-Wave, KNX and others. Wireless technologies are expected to continue driving the market in the future due to low setting-up costs.

Service. From the types of services perspective, the market can be sub-divided into luxury, do-it-yourself (DIY), mainstream and managed services. As of now, it is dominated by luxury services due to the high cost of deploying technology. With the entry of telecom operators, the market is gradually expected to grow through adoption of mainstream and managed services.

Opportunities galore

The home automation market offers exciting revenue opportunities for consumer electronics companies as well as semiconductor companies dealing with embedded automation components and kits. However, to grow in this market, the industry must create innovative products that widen the appeal of connected home technology for the mass market.

Two key aspects of any effective home automation solution are security and connectivity. Security is one of the critical aspects in home automation that needs to be addressed. Therefore highly-innovative automated security solutions are in demand.

HOME AUTOMATION MARKET

Market by application	Market by technology	Market by service type
• Lighting • Safety and security • HVAC • Entertainment • Energy management • Others	• Wired • Power-line • Computing networks • Wireless - Wi-Fi - ZigBee - Z-Wave - KNX - Others (Insteon, Wavensis and X-10)	• Luxury • DIY • Mainstream • Managed services

Source: Home Automation Market - Opportunities and Forecasts, 2014 -2020, Allied Market Research